

China Retail: China Jewelry: Milder industry growth in 2026E with focus on idiosyncratic opportunities; Buy Laopu

We expect China jewelry market growth in 2026 will normalize to 4%, after a strong gold upcycle in 2025 (>60% increase throughout the year) which drove ~10% China jewelry market growth from a relatively low base (vs. 4% in 2019-23 after the market stepped out from the last downcycle) and sector share price outperformance of 70% vs. HSI up 28%. Thus, **we hold a Neutral view on the sector** in 2026 due to the higher base, normalized inelastic demand, and still volatile overall consumption power. Amid milder (yet still fast) gold price increase (GSe of \$5,400/toz by end of 2026 implying 25% increase vs. end-2025), while **we expect demand/value growth to still be supported by continued gains in gold price, it would translate to yoy GPM headwinds for weight-based products, and volume consumption would still be pressured.**

However, we still see idiosyncratic growth opportunities for Laopu and reiterate our Buy rating. We believe Laopu's earnings growth in 2026E is well supported by customer acquisitions riding on the brand/product upcycle, expanded high-quality store network, along with GPM improvement. **Amid the gold price increase, fixed priced products look attractive, benefiting Laopu's demand along with its brand upcycle.** We continue to see solid momentum for Laopu, evidenced by the performance post its Oct price hike and relatively low discount in the secondary market, which also implies its advantage in value retention. **For the upcoming CNY peak season, we see encouraging initial signs on demand, and the company's inventory is well-prepared** thanks to proceeds from its Oct placement. We view VIC (Very Important Customer) management and category expansion as further upside opportunities.

Valuation wise, we believe risk-reward looks attractive for Laopu, trading at high teens 2026E P/E on 39%/55% sales/Ni growth. On the other side, Chow Tai Fook and Luk Fook have enjoyed strong upward re-ratings in 2025 and CTF currently trades at par with the historical average/LF trades at close to +1sd of historical average, which we think is fair considering the normalized earnings growth outlook ahead.

In this report, we provide our 2026E industry and company outlooks, analysis on stock implication under different gold price scenarios, and address key debates on our Buy name Laopu Gold.

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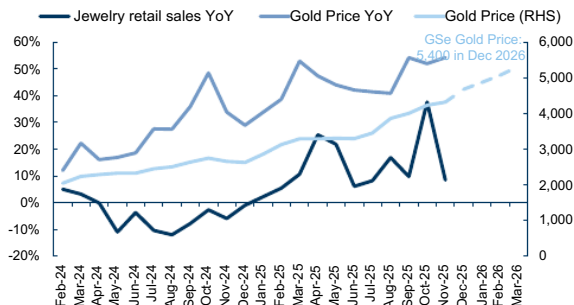
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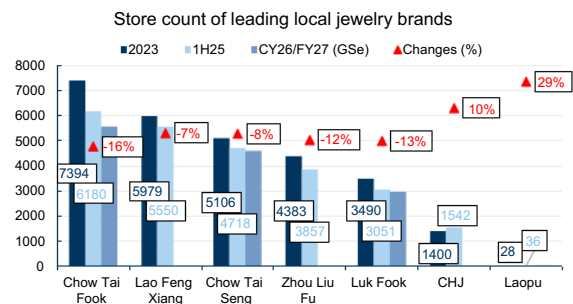
Thesis in charts

Exhibit 1: We look for a milder 4% yoy jewelry market growth in China in 2026E from a higher base

Source: Euromonitor, Goldman Sachs Global Investment Research

Exhibit 2: Customers' acceptance on gold price increase amid continuous gold price upcycle, though volume is still pressured

Source: NBS, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 3: Leading jewelry brands generally had HSD%-20% store count cut since peak level, while emerging brands were expanding

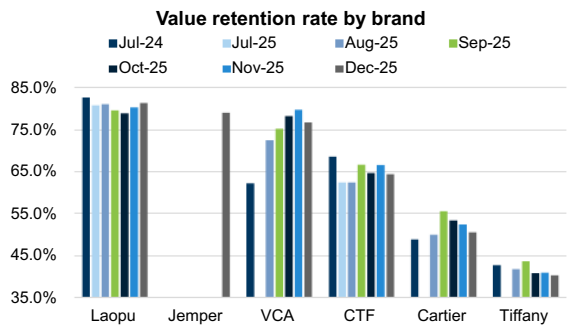
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: Implications to our covered companies under different gold price scenarios

	CTF	LF	Laopu
Gold price milder increase			
Sales impact	+	+	+
Margin impact	-	-	+
Hedging ratio (2024)	55%	16%	0%
Gold price fast increase			
Sales impact	-	-	+
Margin impact	+	+	-
Hedging ratio (2024)	55%	16%	0%
Gold price decline (initial stage)			
Sales impact	+	+	-
Margin impact	-	-	+
Hedging ratio (2024)	55%	16%	0%
Gold price decline (decline continues)			
Sales impact	-	-	-
Margin impact	-	-	+
Hedging ratio (2024)	55%	16%	0%

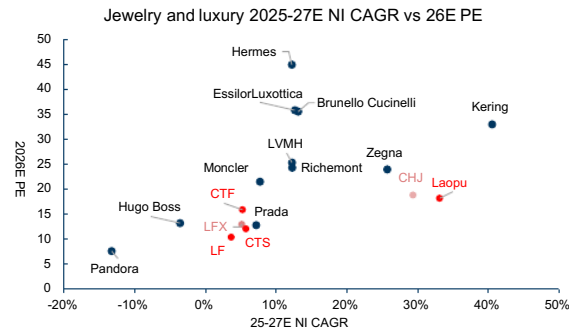
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: Laopu’s secondary market discount remained small and continues to see advantage in value retention



Source: Xianyu, Red, Goldman Sachs Global Investment Research

Exhibit 6: Compared to peers, we see a relatively attractive valuation level for Laopu compared to its solid earnings growth outlook



Bright red dots are GS covered Chinese brands while dark red are non-covered Chinese brands

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: Jewelry and Luxury comp sheet

Ticker	Company	Mkt cap	Price_Cy	Price	12m TP	Implied upside	TP implied PE			PE			Sales growth			24-27E	NP growth			24-27E	EV/EBITDA			P/B
		US\$mn	HKD	1/27/2026			2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	Rev CAGR	2025E	2026E	2027E	NI CAGR	2025E	2026E	2027E	2025E
HK-listed jewellery/watch retailers																								
6181.HK	Laopu HKD	18,199	HKD	822.0	1,128.0	37%	37.8x	24.9x	21.8x	27.5x	18.2x	15.9x	229%	39%	13%	73%	212%	55%	14%	77%	19.8x	13.1x	11.2x	10.2x
1929.HK	Chow Tai Fook	18,619	HKD	14.7	14.0	-5%	16.1x	15.1x	14.4x	16.9x	15.9x	15.2x	3%	0%	-2%	2%	46%	6%	4%	17%	7.7x	9.0x	9.7x	5.2x
0590.HK	Luk Fook	2,477	HKD	32.9	31.0	-6%	10.6x	9.8x	9.9x	11.2x	10.4x	10.5x	20%	12%	10%	14%	56%	8%	-1%	19%	7.2x	6.7x	7.0x	1.3x
6168.HK	Zhou Liu Fu	1,516	HKD	26.8	n.a.	n.a.	n.a.	n.a.	n.a.	12.8x	11.0x	9.6x	14%	13%	12%	13%	23%	17%	14%	18%	n.a.	n.a.	n.a.	3.2x
0116.HK	Chow Sang Sang	1,296	HKD	15.1	n.a.	n.a.	n.a.	n.a.	n.a.	7.2x	6.9x	6.2x	0%	2%	4%	2%	75%	4%	12%	27%	3.9x	0.9x	n.a.	0.8x
Average							20.1x	16.4x	14.7x	15.4x	13.1x	11.8x	49%	11%	9%	20%	79%	15%	11%	30%	9.8x	8.0x	9.8x	4.5x
Median							16.1x	15.1x	14.4x	13.9x	12.6x	12.1x	14%	11%	10%	12%	46%	10%	12%	18%	8.1x	8.5x	9.7x	3.2x
A-share listed jewellery/watch retailers																								
600655.SS	Shanghai Yuyuan	2,961	CNY	5.3	n.a.	n.a.	n.a.	n.a.	n.a.	80.9x	18.5x	14.1x	-5%	7%	9%	3%	87%	361%	34%	126%	20.2x	15.4x	n.a.	0.6x
600612.SS	Lao Feng Xiang	2,843	CNY	46.8	n.a.	n.a.	n.a.	n.a.	n.a.	14.1x	12.9x	12.8x	-2%	4%	-2%	0%	-11%	9%	2%	-1%	6.1x	5.4x	6.0x	1.8x
002867.SZ	Chow Tai Sang	2,025	CNY	13.0	10.8	-17%	10.6x	10.0x	9.4x	12.7x	12.0x	11.3x	-31%	4%	14%	-7%	10%	5%	7%	7%	9.3x	8.6x	7.9x	2.2x
605599.SS	Beijing Calishou	2,208	CNY	19.7	n.a.	n.a.	n.a.	n.a.	n.a.	18.9x	16.8x	15.2x	25%	14%	11%	16%	13%	13%	11%	12%	n.a.	n.a.	n.a.	3.4x
002345.SZ	Guangdong Chi	1,793	CNY	14.0	n.a.	n.a.	n.a.	n.a.	n.a.	26.4x	18.8x	15.7x	25%	20%	18%	21%	144%	40%	20%	60%	15.1x	11.7x	n.a.	3.4x
301177.SZ	DR Corp	1,659	CNY	32.3	n.a.	n.a.	n.a.	n.a.	n.a.	92.3x	64.6x	51.3x	5%	10%	21%	12%	164%	42%	27%	68%	35.0x	31.2x	n.a.	2.0x
300945.SZ	McDon Jewellery	776	CNY	20.6	n.a.	n.a.	n.a.	n.a.	n.a.	42.5x	32.3x	26.6x	29%	23%	21%	24%	32%	28%	25%	28%	n.a.	n.a.	n.a.	3.2x
Average							10.5x	9.9x	9.4x	34.4x	26.3x	22.1x	15%	13%	13%	13%	59%	23%	15%	29%	16.3x	14.1x	7.0x	2.7x
Median							10.5x	9.9x	9.4x	22.7x	17.8x	15.5x	16%	12%	14%	14%	23%	20%	15%	20%	12.1x	9.9x	7.0x	2.7x
Global jewellery/watch retailers																								
CFR.S	Richemont	107,976	CHF	152.9	n.a.	n.a.	n.a.	n.a.	n.a.	26.6x	24.3x	21.5x	0%	6%	7%	4%	31%	10%	14%	18%	15.3x	13.3x	12.3x	4.1x
TITN.BO	Titan Co.	38,685	INR	3,996.9	4,850.0	21%	92.0x	71.5x	60.0x	66.4x	59.2x	49.4x	19%	17%	16%	17%	39%	28%	20%	29%	43.1x	39.8x	33.9x	21.6x
PNDORA.CO	Pandora	6,202	DKK	493.5	n.a.	n.a.	n.a.	n.a.	n.a.	7.2x	7.6x	8.9x	3%	3%	6%	4%	1%	-9%	-17%	-9%	6.4x	5.4x	6.0x	7.2x
UHR.S	Swatch Group	11,346	CHF	166.7	n.a.	n.a.	n.a.	n.a.	n.a.	81.5x	34.4x	21.5x	-8%	3%	5%	0%	45%	115%	61%	24%	11.4x	10.0x	7.9x	0.6x
SIG	Signet Jewelers	3,684	USD	90.6	n.a.	n.a.	n.a.	n.a.	n.a.	9.8x	8.7x	7.6x	1%	2%	2%	1%	210%	7%	11%	54%	4.1x	3.5x	3.0x	2.0x
WOSG.L	Watches of Switzerland	1,692	GBP	529.5	575.0	9%	14.5x	14.1x	12.5x	10.6x	13.0x	11.5x	6%	7%	7%	6%	-13%	3%	13%	0%	5.8x	6.2x	5.5x	1.7x
Average							53.3x	43.0x	36.2x	33.7x	24.5x	20.1x	3%	6%	7%	5%	37%	26%	17%	19%	14.4x	13.0x	11.4x	6.2x
Median							53.3x	43.0x	36.2x	18.6x	18.6x	16.5x	2%	5%	6%	4%	16%	8%	13%	21%	8.9x	8.1x	6.9x	3.0x
Luxury Goods																								
LVMH.PA	LVMH	348,396	EUR	589.3	n.a.	n.a.	n.a.	n.a.	n.a.	27.5x	25.3x	21.9x	-5%	3%	6%	1%	-15%	10%	14%	2%	13.3x	12.5x	11.2x	4.0x
HRMS.PA	Hermes	267,115	EUR	2,130.0	n.a.	n.a.	n.a.	n.a.	n.a.	50.3x	44.9x	39.9x	5%	8%	9%	8%	-3%	12%	12%	7%	30.7x	27.6x	24.6x	11.8x
ESLX.PA	EssilorLuxottica	141,300	EUR	257.0	350.0	36%	53.1x	48.7x	41.8x	39.0x	35.8x	30.7x	5%	8%	11%	8%	-3%	9%	16%	7%	16.7x	15.5x	13.7x	2.9x
PRTP.PA	Kering	40,245	EUR	274.5	n.a.	n.a.	n.a.	n.a.	n.a.	47.3x	32.9x	23.5x	-14%	3%	7%	-2%	-36%	43%	38%	8%	13.1x	11.4x	10.0x	2.2x
1913.HK	Prada SpA	13,511	HKD	41.2	n.a.	n.a.	n.a.	n.a.	n.a.	13.8x	12.8x	11.6x	21%	12%	7%	13%	17%	3%	11%	10%	6.6x	6.1x	5.7x	2.4x
MONC.MI	Moncler SpA	16,208	EUR	49.7	n.a.	n.a.	n.a.	n.a.	n.a.	22.7x	21.5x	19.6x	-1%	4%	8%	3%	-7%	6%	10%	3%	10.9x	11.0x	9.9x	3.5x
BCU.MI	Brunello Cucinelli	6,472	EUR	80.1	n.a.	n.a.	n.a.	n.a.	n.a.	39.7x	35.5x	31.0x	10%	9%	11%	10%	15%	12%	14%	14%	17.8x	15.3x	13.9x	8.8x
BRBY.L	Burberry	5,777	GBP	1,170.0	n.a.	n.a.	n.a.	n.a.	n.a.	94.4x	32.8x	21.3x	-6%	4%	6%	1%	282%	197%	57%	161%	8.7x	7.4x	6.1x	4.2x
BOSN.DE	Hugo Boss AG	2,931	EUR	34.6	n.a.	n.a.	n.a.	n.a.	n.a.	10.4x	13.2x	11.2x	-3%	-7%	3%	-2%	8%	-21%	18%	0%	4.8x	5.1x	4.6x	1.5x
ZGN	Zegna	2,339	USD	9.3	11.9	28%	37.3x	31.4x	23.6x	27.5x	23.9x	18.4x	1%	8%	10%	6%	-4%	19%	33%	15%	6.6x	6.1x	5.4x	n.a.
Average							45.2x	40.0x	32.7x	37.2x	27.9x	22.9x	1%	5%	8%	5%	25%	29%	22%	23%	12.9x	11.8x	10.5x	4.6x
Median							45.2x	40.0x	32.7x	33.2x	29.1x	21.6x	0%	6%	7%	5%	-3%	11%	15%	8%	12.0x	11.2x	10.0x	3.5x

Note Green highlighted cells: China consumer team coverage & for CTF, Luk Fook use FY26 to represent 2025
Non highlighted cells: non China consumer team coverage & refer to Calendar Year; I/B/E/S estimates for Not Covered (NC) or Coverage Suspended (CS) companies; all others are Gse

Source: IBES, Company data, Goldman Sachs Global Investment Research

Expect milder market growth in 2026

2026 market growth outlook

We look for a mild LSD% yoy jewelry market growth in China, or 4% yoy for the gold jewelry market which continues being ASP driven. We believe the relative value storage strength of gold, attractiveness of fixed priced products amid the gold price upcycle, and heritage gold product cycle are still tailwinds for gold jewelry consumption, but we expect the growth to be milder than 2025 from a higher base with overall consumption not yet seeing a meaningful recovery, and normalized inelastic demand.

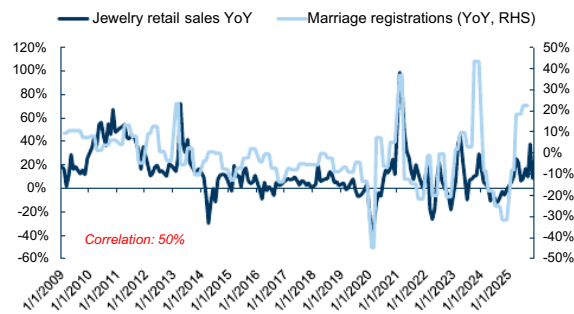
More specifically, we see major factors impacting gold jewelry consumption in 2026E including: **(+) Gold price and expectation for further price increase.** GS expects the gold price to reach \$5,400/toz by the end of 2026, which implies a 25% increase compared to the level on Dec 31, 2025 (vs. ~65% increase throughout 2025). While we expect the gold price increase to continue restraining volume consumption, net net, we believe the gold price increase along with expectation for an upward trend is positive for gold jewelry consumption value, which also bring relative competitiveness for gold from a value storage perspective. **(+) Product cycle.** We expect the upcycle of heritage gold to continue. “New Chinese style” remains popular among customers; leading jewelry brands continue to enrich product offerings, and several heritage gold focused brands have received investment such as Borland and Lamchiu — we believe the supply increase will help educate customers and further drive demand. Meanwhile, amid the gold price upcycle, fixed priced products should also see relative price attractiveness in some periods. **(-) Inelastic demand.** Inelastic demand (i.e., wedding and gifting for newborns) still account for nearly 40% of China’s jewelry consumption, and we see a positive correlation between gold jewelry consumption and number of marriages (50% correlation based on consumption value). Number of marriages face a relatively high base in 2025 (9M25 up 9% yoy), when there was calendar tailwind; but into 2026, we expect demand to normalize and demographic headwinds to remain for inelastic demand of jewelry consumption. **(-) Consumption power.** Overall consumption remains soft, which is a headwind in terms of consumers’ consumption budget.

Exhibit 8: We look for mild LSD% yoy jewelry market growth in China in 2026–2028E



Source: Euromonitor, Goldman Sachs Global Investment Research

Exhibit 9: Marriage growth exhibits strong correlation with jewelry retail sales



Source: Wind, NBS, Goldman Sachs Global Investment Research

A more balanced supply-demand relationship. As we analyzed in our [industry report in 2024](#), China’s jewelry industry needed to see meaningful store closures to reach a

rebalance of S/D and enable the franchisees to have healthy payback. Our refreshed analysis as shown in Exhibit 10 suggests that low teens% stores need to be closed from 2023's level to maintain a surviving mode at 5-year payback (incl. inventory, implying HSD% NPM), or ~35% store cut to reach a more sustainable mode at 3-year payback (implying ~10% NPM), based on the market size in 2025.

Since 2023, leading jewelry retailers (in terms of store count) generally saw HSD% to 20% net store closure, reaching the level of surviving mode on an industry level based on our analysis. At the company level, Chow Tai Fook/Luk Fook both expect fewer store closures in 2HFY26 compared to 1HFY25. By the end of FY26, Chow Tai Fook/Luk Fook should see 24%/15% store count cut compared to the level in FY24 based on our estimation, and we expect both names to see a more stable store network into FY27. That being said, the industry store count has still not reached "sustainable mode" (3 year payback), and hence we believe meaningful store openings at the industry level is not realistic and demand volatility could still lead to further store closures (though the magnitude will be smaller).

Exhibit 10: Based on the industry size in 2025, low teens% industry store closure is needed to reach a surviving mode at 5-year payback compared to 2023, or ~35% closure needed to reach a more sustainable mode with 3-year payback period (incl. inventory)

Scenario analysis on jewelry store network by 2025E in mainland China

Scenarios	Actual case 2023			3-year payback ("Sustainable mode")			5-year payback ("Surviving mode")		
	T1 Cities	T2 Cities	T3+ Cities	T1 Cities	T2 Cities	T3+ Cities	T1 Cities	T2 Cities	T3+ Cities
SSS (rmb k)	10,000	7,000	5,000	14,000	12,000	10,000	11,000	8,800	7,300
% vs. 2023				40.0%	71.4%	100.0%	10.0%	25.7%	46.0%
Cash profit (Rmb k)	714	477	300	1,485	1,395	1,166	907	808	699
Cash margin	7.1%	6.8%	6.0%	10.6%	11.6%	11.7%	8.2%	9.2%	9.6%
Net profit (Rmb k)	584	367	210	1,355	1,285	1,076	777	698	609
Net margin	5.8%	5.2%	4.2%	9.7%	10.7%	10.8%	7.1%	7.9%	8.3%
Payback months (excl. inventory)	9.1	11.6	15.3	4.3	3.8	3.8	7.1	6.7	6.3
# of implied stores in 2025E	29,013	22,888	63,083	20,724	13,352	31,541	26,376	18,207	43,208
Chg % vs. 2023-end				-29%	-42%	-50%	-9%	-20%	-32%
Total # of implied stores in 2025E				65,617			87,790		
Chg % vs. 2023-end				-34.4%			-12.2%		
Payback months (incl. inventory)	78.8	106.6	151.3	37.2	35.3	37.2	61.6	61.7	62.8

Key assumptions	2023	2024	2025E
Industry size (RMB bn)	841	822	901
T1 cities	317	312	341
T2 cities	176	172	188
T3 and below	348	338	371
Urban population (mn)	910	919	928
T1 cities	233	235	237
T2 cities	169	171	173
T3 and below	508	513	518
Disposable income per urban ppl (RMB)	51,821	54,537	57,430
T1 cities	68,598	72,193	76,024
T2 cities	58,268	61,321	64,575
T3 and below	41,982	44,182	46,526
Jewelry spending per urban ppl (RMB)	924	894	971
T1 cities	1,361	1,329	1,438
T2 cities	1,039	1,006	1,092
T3 and below	686	658	716
% of disposable income	1.78%	1.64%	1.69%
T1 cities	1.98%	1.84%	1.89%
T2 cities	1.78%	1.64%	1.69%
T3 and below	1.63%	1.49%	1.54%

Source: Euromonitor, Data compiled by Goldman Sachs Global Investment Research

Exhibit 11: Leading gold retailers generally saw HSD% to 20% net store closures compared to the level in 2023

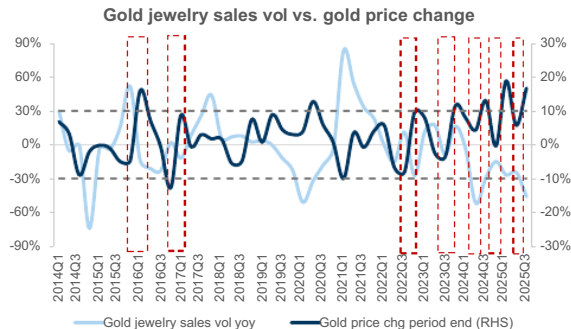
Company	Store count (ML China)									
	2017	2018	2019	2020	2021	2022	2023	2024	1H25	9M25
Chow Tai Fook	2449	2,988	3,899	4,445	5,757	7,501	7,394	6,487	6,180	5,881
Lao Feng Xiang	3161	3,502	3,874	4,431	4,929	5,594	5,979	5,822	5,550	5,625
Chow Tai Seng	2724	3,375	4,011	4,189	4,502	4,616	5,106	5,008	4,718	4,675
Yuyuan	1953	2,090	2,759	3,367	3,959	3,959	4,994	4,615		
Zhou Liu Fu				3,764	4,052	4,383	4,129	3,857		
China Gold				3,159	3,720	3,641	4,256	4,236		
Luk Fook	1561	1,760	2,046	2,294	2,736	3,029	3,490	3,179	3,051	3,000
CHJ	818	907	971	995	1,076	1,158	1,400	1,511	1,542	1,599
Chow Sang Sang	422	506	606	653	775	874	911	842	768	
Darry Ring	0	248	300	351	459	686	526	371	338	341
Laopu				22	27	28	32	36		
Pandora	155	196	237	234	214	252	219	198		
Caibai				59	70	87	100	103		
Tiffany	31	33	34	34	36	37	36	34		
Richemont	49	49	51	54	54	54	53	55		
Emperor	74	87	95	92	90	84	84	82		
Bvlgari	27	35	42	38	36	36	37	39		

Net opening										
2018	2019	2020	2021	2022	2023	2024	1H25	9M25	2025	
539	711	746	1,312	1,744	(107)	(907)	(307)	(605)	(837)	
341	372	587	498	665	385	(157)	(272)	(197)		
851	636	178	313	114	490	(98)	(290)	(333)		
137	669	608	592	0	1,035	(379)				
				288	331	(254)	(272)			
			561	(79)	615	(20)				
199	286	248	442	293	461	(311)	(128)	(179)	(228)	
89	64	24	81	82	242	111	31	88		
84	100	47	122	99	37	(69)	(74)			
248	52	51	108	227	(169)	(155)	(33)	(30)		
				5	1	4				
41	41	(3)	(20)	38	(33)	(21)				
				11	17	13	3			
2	1	-	2	1	(1)	(2)				
-	2	3	-	-	(1)	2				
13	8	(3)	(2)	(6)	0	(2)				
8	7	(4)	(2)	-	1	2				

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

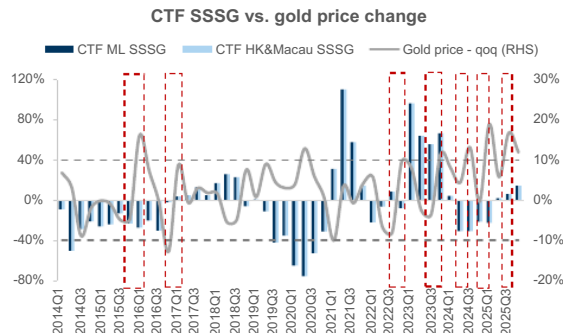
How the gold price impacts companies' earnings outlook

On demand, 1) when gold price sees a mild increase, it usually supports gold jewelry consumption; 2) historically when gold price sees a strong surge (move close to 10% or more within a month), gold demand is highly negatively correlated to gold price, as consumers tend to wait and see. That being said, in 2025, we saw gold jewelry consumption value growth despite the fast gold price increase, which in our view is due to expectation reset (i.e. market looks for further gold price increase) and gold rush on the fixed priced products before their price hike matches the gold price increase; 3) when gold price declines after an upcycle, we could see a gold rush as consumers' expectation for a gold price rebound remains for a while; 4) when the gold price decline trend is confirmed by the market, it pressures gold jewelry demand.

Exhibit 12: Jewelry sales can be highly negatively correlated when gold price changes within a month by close to 10% or more, but in 2025 price increases more than offset the volume decline

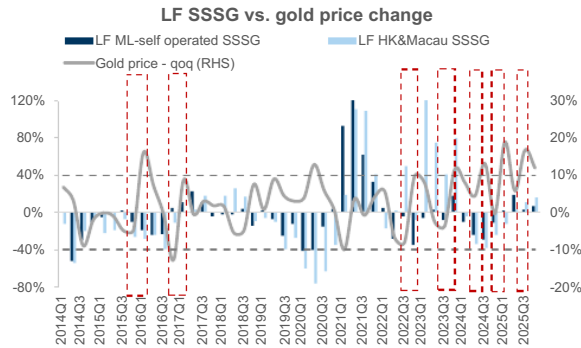
Gold price refers to COMEX price

Source: Ministry of Industry and Information Technology, Bloomberg, China Gold Association, Goldman Sachs Global Investment Research

Exhibit 13: For CTF, historically we generally see negative impact on SSSG when gold price surge notably, but SSSG has turned positive since 25Q2 despite elevated gold price...

Gold price refers to COMEX price

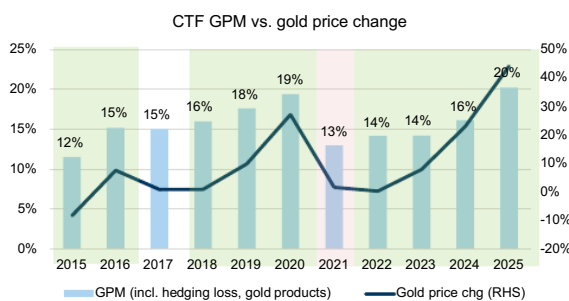
Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 14: ...similar to Luk Fook

Gold price refers to COMEX price

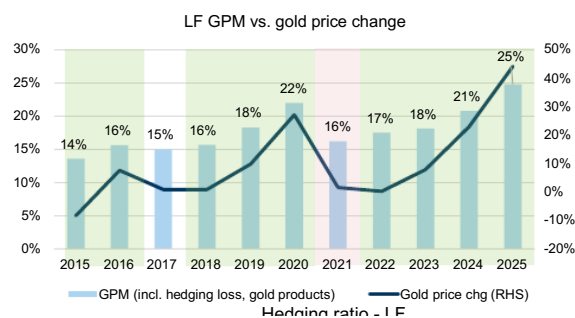
Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

On margin, for weight-based gold jewelry products, GPM is positively correlated with the gold price growth trend (i.e. second derivative to gold price trend) given selling price is marked to market. For both CTF and LF, we see >90% positive correlation between GPM and gold price yoy growth, and the GPM volatility for LF is bigger given the lower hedging ratio, and the FIFO inventory recognition. As a result, we look for a 3.0pp/3.7pp reported GPM expansion for CTF/LF in FY3/26; looking into FY3/27, the milder gold price increase (based on GSe) compared to the prior year should lead to yoy GPM pressure, but in the meanwhile mix increase from higher-margin fixed priced products should provide some support. **For Laopu which focuses on fixed priced products**, GPM is dependent on the brand's price hike vs. gold price increase magnitude. In 2H25, due to the notable surge in gold price to which the company's price reaction was relatively slower, we expect to see GPM pressure (we look for 35% GPM in 2H25). Looking into 2026E, management targets for 40% GPM level and noted that GPM has been able to reach 40% post the Oct price hike (when gold price was at ~\$4500). We look for 38% GPM considering the volatility in gold price, and see upside to our forecast if GPM improves to 40%.

Exhibit 15: We see a positive correlation between CTF's GPM and gold price change trend

Gold price increase is based on annual average

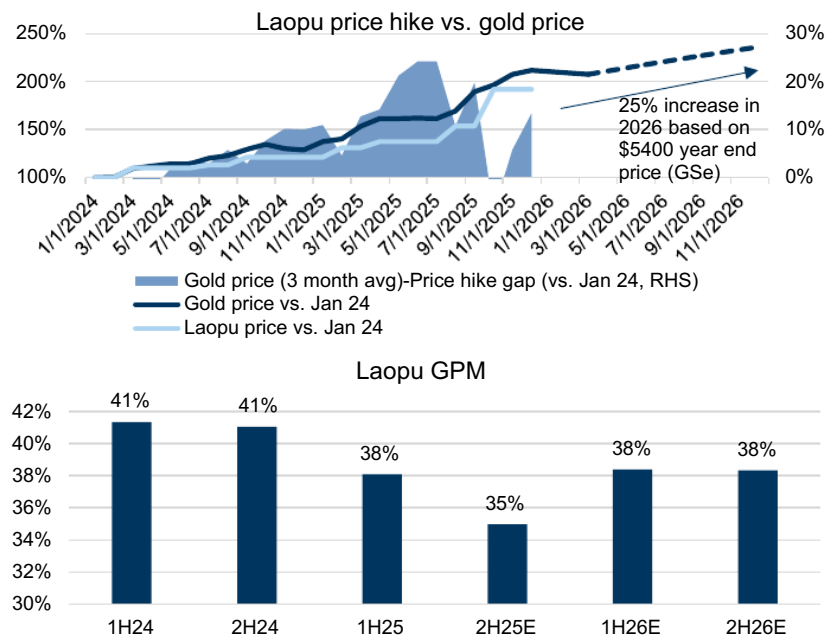
Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 16: The same for LF; but LF's GPM volatility is larger given the lower hedging ratio

Gold price increase is based on annual average

Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 17: Laopu's GPM is correlated to the gap between gold price increase and the brand's price hike



Source: Company data, Goldman Sachs Global Investment Research

Stock implication under different gold price scenarios into 2026E

- n **Under milder gold price increase (our base case), we view Laopu as well positioned**, with topline supported by overall gold demand/price increase and value retention advantage, while price adjustment backs margin recovery. For CTF and LF, while we expect topline to also be supported by mild market growth, reported GPM/OPM should face yoy pressure from a high base.
- n **If gold price sees a notable surge, we expect mixed impact to our covered names, but Laopu is still better positioned in our view.** For CTF/LF, demand on the weight-based products could face headwind, while yoy margin pressure would be eased. While for Laopu, gold price increase is a tailwind to demand on relative price attractiveness, but in the meanwhile it could bring more challenges to price adjustment or lead to higher entry price. That said, the company has also accumulated experience to react to fast gold price increase in 2025, as well as prepared more inventory with its placement in Oct 2025.
- n **If gold price turns to a decline, we generally see negative implications.** For weight-based products, while a gold price decline could push sales in the initial stage, it would lead to yoy margin pressure. And if the decline trend is expected by the market, topline will be pressured too. For Laopu, it would see further GPM expansion on cost tailwind; but in the meanwhile it needs to prove its brand premium if the gold price sees a meaningful decline (if gold price goes down by >30% vs. base case of up 25%, Laopu's GPM would approach luxury group Richemont's level at mid 60% if Laopu's prices do not change).

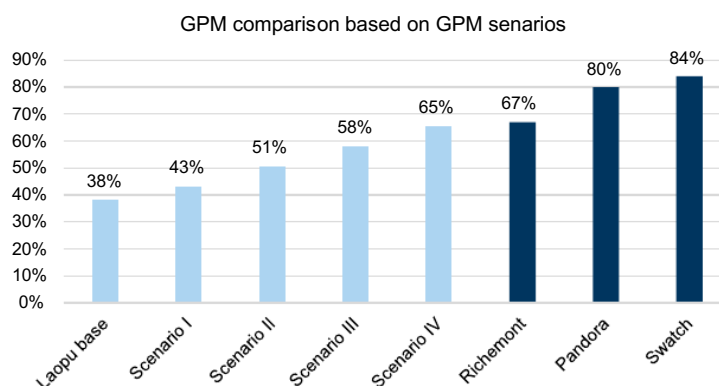
Exhibit 18: Implications to our covered companies under different gold price scenarios

	CTF	LF	Laopu
Gold price milder increase			
Sales impact	+	+	+
Margin impact	-	-	+
Hedging ratio (2024)	55%	16%	0%
Gold price fast increase			
Sales impact	-	-	+
Margin impact	+	+	-
Hedging ratio (2024)	55%	16%	0%
Gold price decline (initial stage)			
Sales impact	+	+	-
Margin impact	-	-	+
Hedging ratio (2024)	55%	16%	0%
Gold price decline (decline continues)			
Sales impact	-	-	-
Margin impact	-	-	+
Hedging ratio (2024)	55%	16%	0%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 19: Laopu 2026 GPM sensitivity to gold price change

	Base	Scenario			
		I	II	III	IV
Gold price chg	25%	15%	0%	-15%	-30%
COGS per 100 revenue	62	57	49	42	35
GPM	38%	43%	51%	58%	65%



Source: Company data, Goldman Sachs Global Investment Research

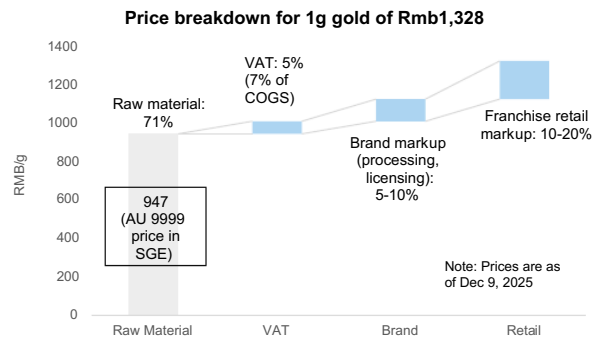
Impact of VAT

On Nov 1, China's Ministry of Finance announced a new VAT policy, where gold purchased not for investment purpose can only offset 6% VAT compared to a total offset of 13% prior. For the gold jewelry retailers we cover, it translates to around 7% higher cost on gold raw material, and right after the policy announcement major retailers conducted MSD% price hikes on weight-based products to pass through the impact to consumers.

Sales impact: 1) The raised price could weigh on near term demand, though the impact is manageable per companies' comments. Total jewelry retail sales growth decelerated to 8.5%/5.9% in Nov/Dec after a robust Oct at 37.6% yoy growth which digested some demand in advance, and also partially impacted by the higher price to buy gold products. 2) Price competitiveness increase for Hong Kong/Macau gold jewelry products. Based on our price checks, the price gap between ML China and Hong Kong/Macau expanded by MSD-HSD% to mid-high teens% post the new VAT policy ([Exhibit 21](#)). 3) There could be industry consolidation opportunity as players that compete on lower price would face more pressure (more price sensitive customer base; need higher % of price hike compared to higher GPM brands; compliance risk).

Margin impact: 1) For weight-based products, jewelry brands generally hiked prices by MSD% which can fully offset the c.7% impact on COGS. In the near term, the price action benefits GPM as brands' existing inventory does not apply for the tax; but this also creates a higher margin base for FY27. 2) For fixed-priced products which adjust prices less frequently, there could be margin headwinds (assuming 40% GPM, there would be 4pp GPM impact if the brand absorbs 7% higher COGS) in the near term. That said, for Laopu, the brand conducted a c.25% price hike in Oct, which according to management is able to maintain GPM at above 40% even after considering the VAT impact (based on ~\$4500 gold price); for Chow Tai Fook, after a ~15% price hike for fixed priced products in Oct, it increased prices for some product series in Dec.

Exhibit 20: Jewelers value chain



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 21: We see CTF's per gram price recorded mid-high teens premium in ML China vs HK after announcement of the VAT policy on Oct 29, 2025

CTF Per Gram Price	Mainland China		Hong Kong		Price Premium ML China vs HK
	999.9 gold retail price	vs SGE Gold price	999.9 gold retail price	HKD vs CNY	
5/31/2025	1016	32%	1002	0.92	10%
6/30/2025	998	31%	992	0.92	9%
7/31/2025	998	30%	984	0.92	10%
8/31/2025	1009	29%	1013	0.92	8%
9/30/2025	1108	27%	1119	0.92	8%
10/31/2025	1259	38%	1180	0.92	16%
11/26/2025	1312	39%	1226	0.91	18%
12/15/2025	1353	39%	1278	0.91	16%
12/31/2025	1357	39%	1298	0.90	16%
1/16/2026	1436	40%	1378	0.89	17%
1/26/2026	1578	39%	1516	0.89	17%

Source: Company data, Goldman Sachs Global Investment Research

Review of jewelry market in 2025

China's jewelry market value grew by around 10% in 2025 per Euromonitor (or 12.8% based on NBS above sized retail sales), which turned out to be better than our earlier expectation. The market grew from a relatively low base in 2024, when the fast increase in gold price pressured demand, and gold jewelry consumption had muted growth with ASP increase offset by volume decline.

We attribute the better-than-expected growth performance in 2025 to: **1) Gold price increase along with expectation/higher acceptance of gold price increase.** The gold jewelry market growth in 2025 was ASP driven while volume continued seeing yoy decline — we estimate that volume yoy decline was >20% in 2025, which was offset by ASP increase for the gold jewelry market. Meanwhile, with continuous gold price increases, consumers' perception of a gold price reset and the expectation for further gold price increase provided support for demand in 2025 (vs. in 2024 when customers were more conservative and tended to wait and see after the gold price surge); **2) Relative competitiveness increase of fixed priced products, and price hike stimulated purchase.** Fixed priced gold jewelry products outperformed in 2025, which in our view is attributable to both product cycle (i.e. heritage gold) and relative price attractiveness when gold price increases. Amid the gold price surge, brands conducted price hikes on fixed priced products, which also stimulated consumption prior to the price hike (e.g. in Oct jewelry consumption growth was robust when leading brands including Laopu/CTF conducted price hikes). **3) Fixed demand increase.** Number of marriages increased by 9% yoy in 9M25, benefiting from the auspicious “double spring” lunar year and from a relatively low base (number of marriages down >20% yoy in 2024).

Laopu remains our top pick

We hold a Neutral view on China's jewelry market with a mild growth outlook into 2026E, and we believe product/brand cycle remains the key driver for alpha generation. We remain Buy rated on Laopu which continues to expand its customer base amid the brand upcycle/with value retention advantage, Neutral rated on Chow Tai Fook and Luk Fook in which we view valuations have returned to a fair level, and Sell rated on Chow Tai Seng

which faces revenue/volume pressure amid the gold price upcycle.

Laopu (Buy). We expect Laopu to deliver 39%/55% revenue/net profit growth in 2026E, with visible drivers including price hikes, expanded store network, and GPM improvement from 2025's relatively low base in 2H. We continue to see solid brand momentum for Laopu, evidenced by performance post the Oct price hike and relatively low discount in the secondary market, which also implies an advantage in value retention. We think customer base expansion remains a key underlying driver for Laopu's growth, which continues to be at a fast pace and supported by product upcycle, brand awareness enhancement, and advantage in value retention amid the gold price increase. In the near term, we are gaining confidence on CNY peak season with encouraging initial sales performance, and the company's inventory is well prepared after the Oct placement.

Laopu's valuation is currently at high teens 1-year forward PE, which is slightly above CTF's level and we think the valuation remains undemanding compared to its earnings growth outlook. While we have revised down 2025E earnings forecast slightly on GPM pressure, we revised up 2026-27E earnings forecast by 8%/3% as we gain more confidence on the brand's sales momentum from its performance post the Oct price hike. Reiterate Buy with a new TP of HK\$1,128, implying 37% upside (from HK\$1,088 prior; now based on 25x 2026E P/E which is consistent with other jewelry/new consumption names we cover, from 25x 2027E target P/E then discounted back to mid-2026E prior). 25x benchmarks to CTF's valuation at 1 std above average and when there's a product upcycle (heritage gold), reflecting Laopu's continuous brand upcycle and notable growth outperformance in China's jewelry market.

Chow Tai Fook (Neutral). We look for 8% SSSG in FY3/26, which should drive 3% sales growth for the full year; gold price increase along with higher fixed-priced product mix, and operating leverage should help margin expansion. That said, into FY3/27, similar to industry growth, we expect to see a milder growth outlook for the company: 1) we look for flat sales yoy, with drag from store network contraction offset by LSD% SSSG coming from a higher base in FY3/26, and higher store productivity with brand upgrade. 2) while we expect the gold price increase to continue being a tailwind for the higher-margin fixed priced products, we note the smaller gold price growth magnitude (GSe implies 25% increase throughout 2026E, compared to gold price increase of >60% in 2025/77% in FY3/26 to date) would translate to yoy GPM headwind, partially offset by less hedging loss. We look for 6% reported net profit growth in FY3/27.

Chow Tai Fook's share price increased by 84% in 2025 (vs. HSI up 28%), driven by SSSG/earnings performance improvement, valuation re-rating with the heritage gold upcycle, and sentiment on gold price increase. The stock is currently trading at 16-17x 1 year fwd P/E and in line with historical average, which we view as a fair valuation with a more normalized growth outlook for both company and industry. The brand upgrade could create potential upside, but we expect it to be a gradual process. Remain Neutral with a TP of HK\$14.

Luk Fook (Neutral). We look for 20%/56% yoy sales/net profit for FY3/26, with further increase in GPM thanks to the gold price increase and benefit from inventory that are not charged VAT; the company has relatively high earnings elasticity on the gold price upcycle given the low hedging ratio and FIFO inventory recognition. But the one-off margin benefit from meaningful gold price increase and cheaper inventory created a

relatively high margin base, and we look for milder earnings growth into FY3/27 despite outperformance in Hong Kong/Macau post the new VAT policy is a benefit to Luk Fook's earnings (59%/69% sales/OP from offshore market in FY25).

We revised up our FY26-FY28 earnings forecast by 16%-24% reflecting faster HK/Macau growth outlook/better-than-expected wholesale performance, higher margin amid the gold price increase, and lower-than-expected OPEX increase. On valuation, we revise up our FY26-27 target PE to 10x (implying 33% discount to CTF from 40% prior, benchmark to the 2017-18 average valuation discount level when Hong Kong/Macau saw outperformance considering the better HK/Macau performance amid the larger price gap vs. mainland China), from 9x previously. That said, we believe the positive earnings have been reflected by the rising share price, and we remain Neutral rated on Luk Fook with a revised TP of HK\$31 implying slight downside.

Chow Tai Seng (Sell). We view the relatively high gold price and further increase in gold price as a headwind to Chow Tai Seng, which is a relatively mass-positioned brand and customers are more price sensitive. Amid the gold price increase, we see upside risk of third-party product mix which pressures revenue, and the company's profit structure is more correlated to sales volume for weight-based products, which could see headwinds with higher gold price pressuring sales volume. We remain Sell rated on the name with a new TP of Rmb10.8, based on 10x 2026E PE (roll over from 2025-26 average).

Exhibit 22: Earnings revision summary

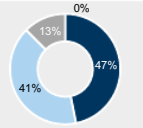
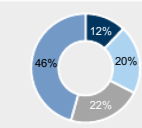
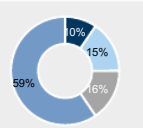
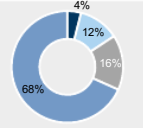
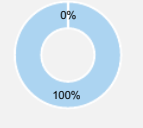
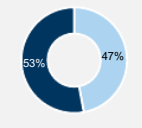
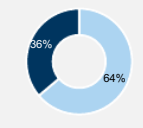
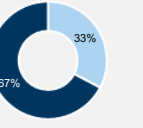
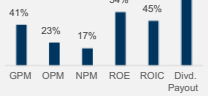
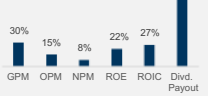
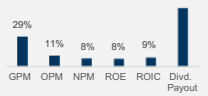
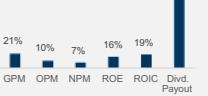
Company	Ticker	Old Rating	New Rating	Market Cap (US\$mm)	Ccy	Price 1/28/2025	Old TP	New TP	TP Chg	New TP: Up/Downside	Current Price based P/E			TP implied P/E			2025-27E CAGR	
											2025E	2026E	2027E	2025E	2026E	2027E	Sales	NP
Laopu	6181.HK	Buy	Buy	16,276	HKD	825.50	1,085.00	1,128.00	4%	36.6%	26X	19X	16X	36X	20X	22X	25%	33%
Chow Tai Fook	1929.HK	Neutral	Neutral	19,125	HKD	15.12	14.00	14.00	0%	-7.4%	17X	16X	16X	14X	13X	13X	2%	24%
Luk Fook	0590.HK	Neutral	Neutral	2,520	HKD	33.48	23.00	31.00	35%	-7.4%	14X	13X	12X	12X	11X	10X	16%	30%
Chow Tai Seng	002887.SZ	Sell	Sell	2,212	CNY	14.04	11.00	10.80	-2%	-23.1%	13X	13X	12X	10X	10X	9X	9%	6%

Company	Revenue changes			NI changes			GPM Changes			NPM Changes		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
Laopu	4%	11%	6%	-4%	8%	3%	-2.2%	-0.9%	-0.4%	-1.5%	-0.5%	-0.4%
Chow Tai Fook	0%	0%	0%	0%	0%	0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Luk Fook	4%	5%	4%	24%	22%	16%	1.3%	0.4%	-0.9%	1.7%	1.5%	0.9%
Chow Tai Seng	-35%	-37%	-33%	-2%	-4%	-3%	6.2%	6.2%	4.4%	3.9%	4.1%	3.4%

Company	Revenue (Rmb mn, new)			Net Income (Rmb mn, new)			Revenue growth yoy			Net Income growth yoy		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
Laopu	27,944	38,684	44,011	4,591	7,116	8,138	229%	39%	13%	212%	55%	14%
Chow Tai Fook	92,408	92,491	94,097	8,634	9,161	9,566	3%	0%	2%	46%	6%	4%
Luk Fook	15,968	17,872	19,640	1,719	1,862	1,847	20%	12%	10%	56%	8%	-1%
Chow Tai Seng	9,557	9,929	11,316	1,115	1,170	1,246	-31%	4%	14%	10%	5%	7%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 23: Greater China jewelry coverage snapshot

Jewelry coverage snapshot				
Company	Laopu	Chow Tai Fook	Luk Fook	Chow Tai Seng
Ticker	6181.HK	1929.HK	0590.HK	002867.SZ
Market cap (US\$m)	18,272	19,121	2,520	2,194
3m Avg. daily turnover (US\$m)	87.4	27.5	5.3	17.1
Rating	Buy	Neutral	Neutral	Sell
Year of founding	2009	1929	1991	1999
Logo				
Pricing range (Rmb/sku)	10,000-50,000	2,000-7,000 (4,800-28,000 for CTF.Rouge; 4,000-55,000 for CTF.HUA)	1,000-4,000	1,000-4,000
Pricing (Jan 2026)	Fixed price (pure gold): 1,500-1,900 rmb/g; (gem-set): 2,000-2,500 rmb/g	Weight-based: c. 1,426 rmb/g Fixed price: 2,000-3,500 rmb/g	Weight-based: c. 1,411 rmb/g Fixed price: 2,000-2,700 rmb/g	Weight-based: c. 1,426 rmb/g Fixed price: 1,900-2,200 rmb/g
Product mix (2024)	Gold 50% Gem-set 50%	Gold 81% Gem-set 14%	Gold 74% Gem-set 26%	Gold 85% Gem-set 5%
Store # (2024)	2024-end Total: 36 ML China: 32 (0% franchised mix) HK&Macau&Overseas: 4	2024-end Total: 7,065 ML China: 6,904 (74% ML franchised mix at 5,087) HK&Macau&Overseas: 156	2024-end Total: 3,343 ML China: 3,239 (94% ML franchised mix at 3,053) HK&Macau&Overseas: 90	2024-end ML China: 5,008 (93% franchised mix at 4,655)
ML China store mix by city tiers (2024)				
% of ML China sales (2024)	90%	83%	35%	100%
ML China retail sales (Rmb mn, 2024)	7,651	83,084	6,089	26,930
Market share in ML China jewelry market (2024)	0.4%	10.0%	0.8%	3.2%
ML China sales mix by channel (2024)				
Sales (2024, RMBmn)	8,506	83,043	12,357	13,891
NI (2024, RMBmn)	1,473	5,479	1,019	1,010
Sales CAGR, 2021-2023	59%	5%	14%	33%
NI CAGR, 2021-2023	91%	-2%	13%	4%
Sales CAGR, 2024-26E	114%	2%	16%	-15%
NI CAGR, 2024-26E	120%	24%	30%	8%
Margin/ROE/ROIC/Dividend payout (2024)				

Market cap as of Jan 9; Core OPM for CTF

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 24: Store economics comparison (2025)

In RMB k (2025)	Laopu	Chow Tai Seng	Chow Tai Fook	Luk Fook
Key operational item				
Average store size (sqm)	110	100	100	80
Initial investment	37,000	5,000	6,000	4,550
Upfront inventory	25,000	4,400	5,000	4,000
Others (decoration etc.)	12,000	600	1,000	550
CAPEX/sqm	109	6	10	7
Sales/sqm	4,545	85	100	75
Rent/sqm	730	6	8	6
Staff per store	20	6	10	8
Salary per staff	378	60	80	60
Store economics				
Sales	500,000	8,500	10,000	6,000
COGS	(309,688)	(6,588)	(7,200)	(4,080)
Gross profit	190,312	1,913	2,800	1,920
Opex	(100,292)	(1,443)	(2,060)	(1,484)
Operating income	90,020	469	740	436
EBITDA	92,420	589	940	546
Cash profit	69,915	496	792	459
Net income	67,515	376	592	349
Cost structure				
GPM	38%	23%	28%	32%
Total OPEX	20%	17%	21%	25%
Salary	2%	4%	8%	8%
Rental/Concessionaire	16%	7%	8%	8%
Depreciation	0%	1%	2%	2%
Franchise and management fees	0%	1%	1%	5%
Brand fee	0%	2%	0%	0%
Others	2%	2%	2%	2%
OPM	18%	6%	7%	7%
EBITDA margin	18%	7%	9%	9%
Effective tax rate	25%	20%	20%	20%
NPM	14%	4%	6%	6%
Return profile				
ROIC based on EBITDA (excl. inventory)	770%	98%	94%	99%
Payback (month, excl. inventory)	1.6	12.2	12.8	12.1
ROIC based on EBITDA (incl. inventory)	250%	12%	16%	12%
Payback (year, incl. inventory)	0.4	8.5	6.4	8.3

Source: Company data, Goldman Sachs Global Investment Research

Laopu: Growth supported by customer expansion, value retention advantage and margin improvement; brand momentum intact; Buy

Debate 1: Laopu's growth sustainability into 2026E

Laopu delivered strong SSSG performance in 2025 (we estimate 125% SSSG in 2025, and average store productivity reaching Rmb550mn annually, equivalent to leading luxury brand Hermes's average level based on Euromonitor, [Exhibit 37](#)), and the growth sustainability from a much higher base is among the key investor debate. However, into 2026E, we expect Laopu to still deliver decent growth (we look for 39%/55% topline/NII growth to Rmb38.9bn/7.1bn), supported by visible drivers including ASP/store expansion, along with continuous solid brand momentum/customer base expansion and gold price support.

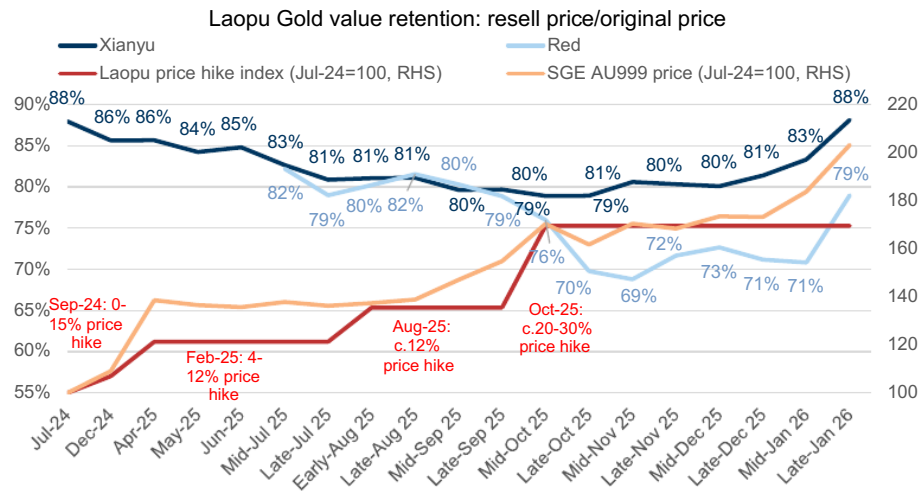
We see several earnings drivers that have relatively high visibility: 1) Store network expansion: in 2025, Laopu newly opened 10 stores, implies >10% average store count increase in 2026; on top of that, the company plans to open 3-4 new stores in overseas market and continue to upgrade existing stores in ML China in 2026. **2) ASP increase.**

Laopu conducted 4 price hikes in 2025 with cumulative price increase of >50%, and the price hike magnitude was skewed towards 2H25. **3) GPM improvement.** We expect Laopu's GPM to contract to 36.3% in 2025, due to the gold price surge and the strong sales before the brand's price hike. Post the price hike in Oct 25, GPM reached 40% even considering the VAT and promotion impact per management (based on ~\$4500 gold price). We look for 38% GPM in 2026E considering the gold price volatility (vs. management's target of 40%), but this still supports a margin expansion in 2026E.

Data points suggest Laopu's popularity remains high. According to management, sales momentum remains solid post the Oct price hike and they noted long queues during holiday season in multiple cities; the brand achieved triple digit sales growth at the company level/high double digit for old store cohort during New Year Day holiday. On resale price, Laopu's resale prices remained stable at 70–80% of tag price which is a relatively high level compared to other luxury brands ([Exhibit 5](#)); the secondary market discount further narrowed recently, with the increase in gold price. **Into CNY,** we see robust initial performance in shopping malls like SKP, indicating the strong demand from customers. Compared to Jan–Feb 2025, there's a close to 20% store count addition, and >50% price increase yoy; on the inventory side, with the proceeds from its Oct placement, we expect inventory preparation to be relatively sufficient for the peak season sales (we look for Rmb11bn inventory at end 2025, compared to COGS of Rmb11.6bn/7.6bn in 1H26/1H25).

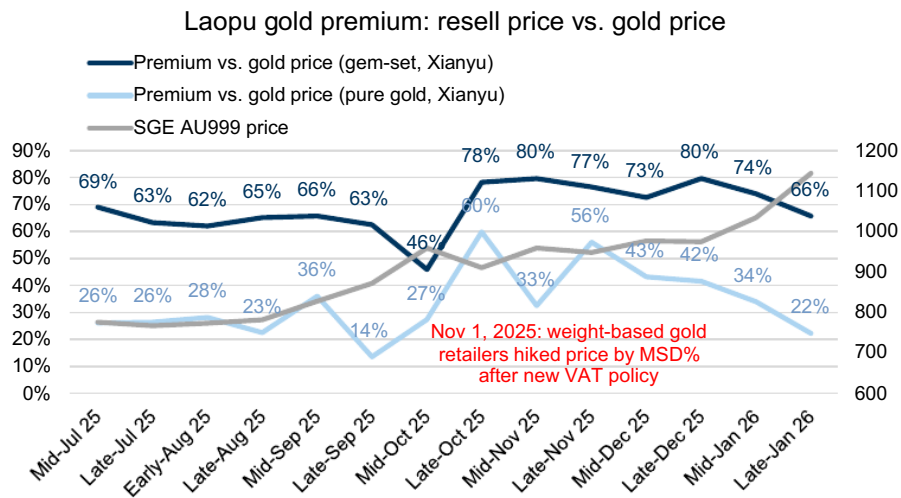
Customer base expansion remains a key underlying driver for Laopu's growth, underpinned by brand momentum. According to the company, the number of members reached 660k in Nov, and remains at a fast growth pace compared to 480k at the end of 1H25. We expect Laopu to continue to acquire new customers with support from: 1) leadership in heritage gold with well recognized and symbolic product designs; 2) expanding high quality store network enhances brand awareness 3) advantage in value retention helps to enhance its competitiveness among the high end consumption options amid the "value-conscious" trend; gold price increase supports demand for fixed products.

Exhibit 25: Laopu's secondary prices maintained at 70-80% of tag price, and recently further expanded with gold price increase



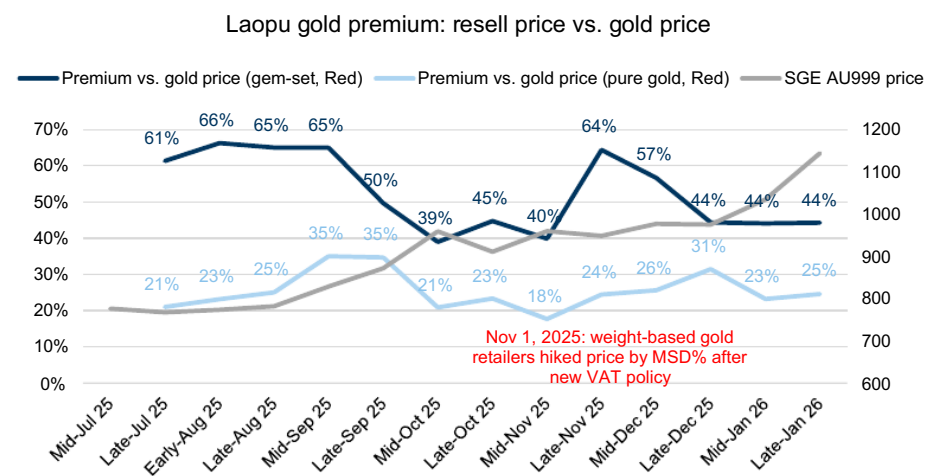
Source: Xianyu, Red, Goldman Sachs Global Investment Research

Exhibit 26: Laopu's secondary prices on Xianyu are trading at c.50-70%/20-40% average premium vs gold price for gem-set/pure gold products



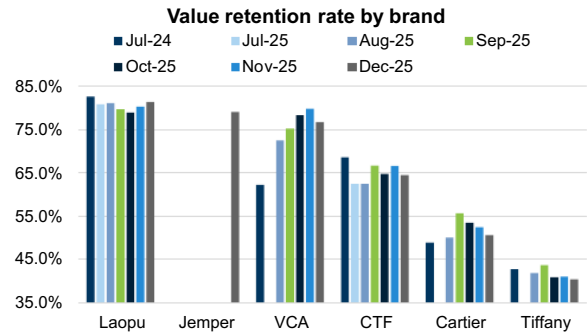
Source: SGE, Xianyu, Goldman Sachs Global Investment Research

Exhibit 27: Laopu’s resell bid prices on Red are trading at c.40-60%/20-30% average premium vs gold price for gem-set/pure gold product



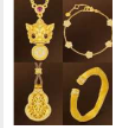
Source: SGE, Red, Goldman Sachs Global Investment Research

Exhibit 28: Laopu resell discount is smaller than peers



Source: Xianyu, Red, Goldman Sachs Global Investment Research

Exhibit 29: Laopu price per gram demonstrates competitiveness within fixed-priced luxury jewelry segment of leading brands

Brands	Laopu		Jemper		Borland		Chow Tai Fook	
Product types	Pure gold	Gem-set	Pure gold	Gem-set	Pure gold	Gem-set	Pure gold	Gem-set
Product images								
Dec-25	1,723	2,147	N.A.	2,155	1,943	2,669	2,125	3,149
vs SGE gold price	71%	113%		114%	93%	165%	111%	213%
vs CTF weighted gold price	22%	52%		53%	38%	89%	51%	123%
Jan-26	1,723	2,147	N.A.	2,155	1,943	2,669	2,125	3,149
vs SGE gold price	52%	89%		90%	71%	135%	87%	177%
vs CTF weighted gold price	14%	42%		42%	28%	76%	40%	108%

In Rmb. CTF pure gold products are also fixed-price

Source: Taobao, Company data, Goldman Sachs Global Investment Research

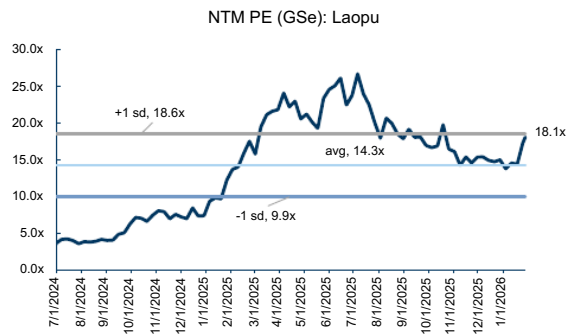
Exhibit 30: Laopu is one of the brands that recorded the most notable growth in terms of followers in past year

Followers # (k)	Dec-24			Nov-25			Dec-25			YoY Chg%			MoM Chg%		
	Tmall Flagship	Douyin	RED	Tmall Flagship	Douyin	RED	Tmall Flagship	Douyin	RED	Tmall Flagship	Douyin	RED	Tmall Flagship	Douyin	RED
Domestic traditional jewelers															
Chow Tai Fook	8,190	1,976	357	8,740	2,011	402	8,810	2,020	411	8%	2%	15%	0.8%	0.4%	2.2%
Chow Sang Sang	7,087	814	111	7,396	827	143	7,420	846	146	5%	4%	31%	0.3%	2.3%	2.3%
Chow Tai Seng	5,980	4,702	150	6,560	4,437	173	6,590	4,404	173	10%	-6%	15%	0.5%	-0.7%	-0.2%
Luk Fook	3,550	489	165	3,760	578	186	3,790	581	188	7%	15%	14%	0.8%	0.5%	0.9%
CHJ	4,210	n.a.	107	4,570	357	136	4,610	376	139	10%	n.a.	30%	0.9%	5.3%	2.6%
Laomiao	1,840	2,219	45	2,150	2,202	61	2,200	2,189	61	20%	-1%	35%	2.3%	-0.6%	0.7%
China Gold	1,030	n.a.	27	1,143	42	36	1,180	43	36	15%	n.a.	36%	3.2%	2.4%	-1.1%
Ming	912	n.a.	30	1,020	212	38	1,040	211	38	14%	n.a.	27%	2.0%	-0.5%	0.0%
Laopu	717	67	77	1,050	128	163	1,080	132	178	51%	97%	131%	2.9%	3.1%	9.3%
Laofengxiang	n.a.	n.a.	58	120	974	61	140	969	61	n.a.	n.a.	5%	16.7%	-0.5%	-0.5%
International jewelers															
Swarovski	5,865	475	80	5,962	551	85	5,960	558	86	2%	17%	7%	0.0%	1.3%	0.6%
Pandora	4,990	175	79	5,080	200	101	5,080	201	102	2%	15%	29%	0.0%	0.5%	0.6%
APM	4,124	485	151	4,367	606	179	4,400	623	183	7%	28%	21%	0.8%	2.8%	2.2%
Cartier	2,277	1,841	223	2,425	1,807	248	2,440	1,805	251	7%	-2%	12%	0.6%	-0.1%	1.2%
Van Cleef & Arpels	921	275	174	1,080	288	222	1,100	287	225	19%	4%	29%	1.9%	-0.3%	1.5%
Tiffany	n.a.	1,606	284	449	1,637	330	453	1,626	332	n.a.	1%	17%	0.9%	-0.7%	0.7%
Qeelin	543	n.a.	68	598	28	159	600	37	167	10%	n.a.	145%	0.3%	32.1%	5.0%
Bulgari	n.a.	368	191	921	389	223	1,201	390	228	n.a.	6%	19%	30.4%	0.3%	2.3%

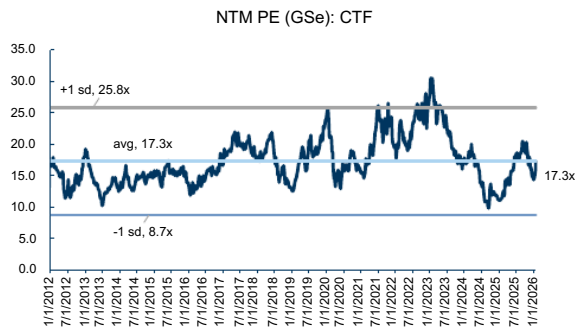
Source: Tmall, Douyin, Red, Goldman Sachs Global Investment Research

Debate 2: Valuation and scenario analysis on 2026E earnings

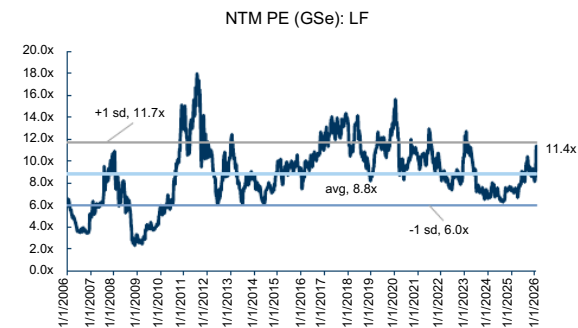
Laopu's 1-year forward valuation is currently at high teens (from >25x at the peak level in mid-2025), reflecting investors' concerns on growth and brand momentum sustainability. While we acknowledge Laopu still needs to prove its ability to grow under different gold price cycles, and Laopu's efforts towards a luxury positioned brand is still in progress (e.g. upgrade to more superior locations, development of VIC (Very Important Customer) management team), we believe current valuation does not reflect a premium to Laopu's brand position (vs. global luxury group Richemont trading at mid 20x average). Compared to other jewelry and luxury names, we note Laopu's current valuation is relatively low compared to its growth outlook.

Exhibit 31: Laopu currently trades at close to average +1sd level

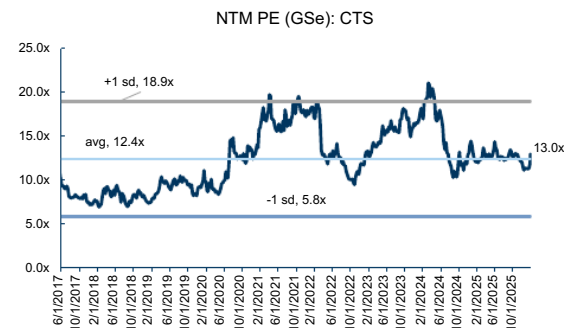
Source: Workspace, Company data, Goldman Sachs Global Investment Research

Exhibit 32: CTF currently trades at average level

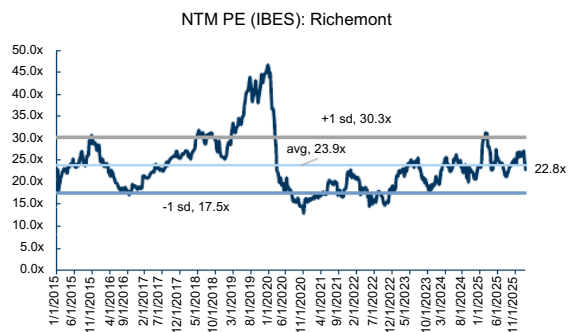
Source: Workspace, Company data, Goldman Sachs Global Investment Research

Exhibit 33: Luk Fook currently trades at close to average +1sd level

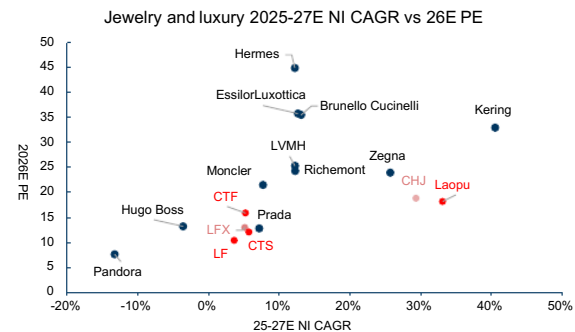
Source: Workspace, Company data, Goldman Sachs Global Investment Research

Exhibit 34: Chow Tai Seng currently trades at slightly above average level

Source: Workspace, Company data, Goldman Sachs Global Investment Research

Exhibit 35: Richemont currently trades at slightly below average level

Source: Workspace, Company data, Goldman Sachs Global Investment Research

Exhibit 36: Laopu is trading at 18x 2026E PE against 33% 2025-27E NI CAGR, attractive from risk / reward perspective vs luxury and jewelry peers

Bright red dots are GS covered Chinese brands while dark red are non-covered Chinese brands

Source: Company data, Goldman Sachs Global Investment Research

We conduct a scenario analysis on Laopu's 2026E earnings based on ML China store productivity to gauge the risk reward on current valuation. In our base case (GSe), we assume low teens% yoy store productivity increase, coming from customer base expansion and ramp up of the high quality stores opened (e.g. Shanghai where the brand added 4 stores in 2025). Assuming 15% blended ASP increase in 2026E, this will imply 44% yoy ASP expansion in 2026E after adding the price hike in 2025 (based on monthly average).

Scenario I: We assume no increase in store productivity compared to 2025 and all else same as GSe, which implies a ~30% volume decline. This translates to 10% yoy sales growth in China driven by average store count increase, and 19%/32% company level sales/net profit increase adding the overseas contribution and margin expansion. Implied 2026E P/E is slightly above 20x in this case.

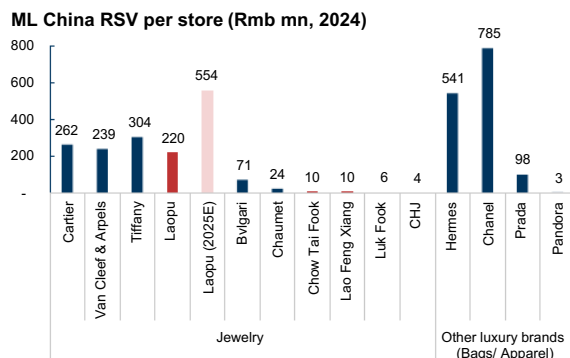
Scenario II: We assume 20% volume decline compared to 2025, and all else same as GSe. This translates to Rmb30bn sales in the ML China market, similar to CTF HUA collection's sales level. This results in a 27% yoy topline increase for the China market, or 33%/48% company level sales/net profit increase, and implied 2026E P/E is at high teens level.

Scenario III: We assume no volume decline and all else same as GSe, which implies average store productivity of Rmb800mn, similar to Chanel's level, which represents one of the best store productivity in China's luxury market. This results in a nearly 60% yoy topline increase for the China market, or 60%/79% company level sales/net profit increase, and implied 2026E P/E is only at mid teens level.

Scenario IV: We assume no volume decline and all else same as GSe, which implies average store productivity of Rmb800mn, similar to Chanel's level, which represents one of the best store productivity in China's luxury market. On GPM, we assume no improvement vs. 2025 (vs. GSe of up 2pp). This results in a 60%/61% company level sales/net profit increase, and implied 2026E P/E is at high teens level.

Amid the gold price increase and brand upcycle which protects Laopu from downside, we believe the current share price still implies an attractive risk reward for the name.

Exhibit 37: We project Laopu retail sales per store to reach Rmb554 mn in 2025, comparable to Hermes performance in 2024



Source: Euromonitor, Company data, Goldman Sachs Global Investment Research

Exhibit 38: Scenario analysis on Laopu's 2026E earnings outlook based on China store productivity

Rmb mn	2024	2025E	2026E	2026E scenarios			
				Scenario I	Scenario II	Scenario III	Scenario IV
China	7,651	23,882	31,936	26,215	30,270	37,837	37,837
yoy		212%	34%	10%	27%	58%	58%
Market share in jewelry	0.9%	2.9%	3.5%	2.9%	3.4%	4.2%	4.2%
Boutiques	6,595	19,676	26,333	21,616	24,959	31,199	31,199
Store count	32	39	39	39	39	39	39
Avg store count	30	36	39	39	39	39	39
Store productivity	220	554	675	554	640	800	800
Store productivity yoy	123%	152%	22%	0%	15%	44%	44%
Price yoy (assume 10% hike in 2026E)	23%	29%	44%	44%	44%	44%	44%
Volume yoy	81%	95%	-16%	-31%	-20%	0%	0%
Online (assume growth in line with boutiques)	1,055	4,206	5,603	4,599	5,311	6,638	6,638
Overseas	855	4,061	6,949	6,949	6,949	6,949	6,949
Total sales	8,506	27,944	38,884	33,164	37,218	44,786	44,786
yoy		229%	39%	19%	33%	60%	60%
NPM	17%	16%	18%	18%	18%	18%	16%
Net income	1,473	4,591	7,116	6,070	6,812	8,197	7,388
yoy		212%	55%	32%	48%	79%	61%
Implied PE as of Jan 23, 2026			18.2	21.4	19.1	15.8	17.6
Revenue mix							
China Boutiques	78%	70%	68%	65%	67%	70%	70%
China Online	12%	15%	14%	14%	14%	15%	15%
Overseas	10%	15%	18%	21%	19%	16%	16%

Source: Company data, Goldman Sachs Global Investment Research

Debate 3: Laopu's longer term growth potential

In the China market, we still see upside for Laopu to expand location and customer coverage. **From a store count perspective**, Laopu currently has 39 stores in ML China in 33 shopping malls, compared to 59/60/44 malls for Tiffany/Cartier/VCA. We see upside in both store location and white spaces in new tier 1/tier two cities. **From a customer base perspective**, Laopu's current 660k member count implies the penetration remains relatively low among the middle class and above customers (reference: CMB's Sunflower cardholder number of >5mn). Based on social media platform follower numbers, despite Laopu being among one of the fast-growing brands, the absolute level remains notably lower than Cartier.

We view VIC management and category expansion as upside opportunities for Laopu. The company has established a VIC management team at the headquarters in 2025, and will continue to further develop the system (e.g. recruit VIC management manager at store/regional level). We believe it takes time for Laopu to develop the system as one of the pioneers among Chinese brands, but we see some initial positive signs that Laopu's brand and products are well accepted by high net worth consumers. The development of VIC management and enrichment in product offerings should gradually contribute to high ASP product sales such as gold ornaments, which currently account for <20% of Laopu's sales.

Exhibit 39: We still see space for Laopu's store expansion, as it entered 33 shopping malls or 15 cities in China vs. 59/60/44 malls or 27/34/24 cities for Tiffany/Cartier/VCA

Shopping mall location comparison Laopu Gold vs. VCA/Tiffany/Cartier

City	Tiffany	Cartier	VCA	Laopu Gold	City	Tiffany	Cartier	VCA	Laopu Gold
Tier 1 City					Tier 2 City				
Beijing	World Trade Center	World Trade Center	World Trade Center	World Trade Center*2	Shenyang	MixC	MixC	MixC	MixC*2
	WF Central	WF Central	WF Central	WF Central	Xiamen	MixC	MixC		MixC*2
	SKP	SKP	SKP	SKP*4	Jinan	Guhe Plaza	Guhe Plaza	Guhe Plaza	
	Daxing Intl Airport	Daxing Intl Airport			Kunming		Spring City 66		
Shanghai			Park View Green		Dalian	Olympia 66			
				Oriental Plaza Boutique*2			Times Square		
				Gongmei Emporium	Harbin	Charter Shopping Centre	Charter Shopping Centre	Charter Shopping Center	
				Wangfujing Department Store DT51	Fuzhou	MixC	MixC	MixC	
Tai Koo Li					Nanning		MixC		
Shanghai	Qiantan Taikooli		Qiantan Taikooli		Shijiazhuang		Beiqiao Future Mall		
	One ITC				Changchun		Charter Times Square		
	IFC	IFC	IFC	IFC	Taiyuan		Tianmei Plaza		
	Plaza 66	Plaza 66	Plaza 66	Plaza 66	Nanchang		Wushang Mall		
Shanghai	Grand Gateway 66	Grand Gateway 66	Grand Gateway 66	Grand Gateway 66	Tier 3 City				
	Hong Kong Plaza				Sanya		CDFG	CDFG	
	Hongqiao Intl Airport				Haikou		CDFG	CDFG	
			L'Avenue		HK&Macau		Haikou Intl Airport		
Shenzhen	MixC	MixC		Yuyuan	Hong Kong	Harbor City		Harbor City	Harbor City*2
	Bay MixC	Bay MixC	Bay MixC	Shanghai Xintiandi		Pacific Palace	Pacific Palace	Pacific Palace	
				MixC*4		Time Square			
				Bay MixC		Landmark	Landmark	Landmark	
Guangzhou	TaiKoo Hui	TaiKoo Hui	TaiKoo Hui	MixC World		One Peking	Elements		
New Tier 1 City				TaiKoo Hui		HongKong Intl Airport	HongKong Intl Airport		
Nanjing	Deji Plaza	Deji Plaza	Deji Plaza	Deji Plaza*2					
	IFC	IFC	IFC			Canton Road	Canton Road	Canton Road	
Xi'an	SKP	SKP	SKP			K11	K11		
Hangzhou	In77			MixC*2		Lee Gardens	Lee Gardens		
	MixC	MixC	MixC	Hangzhou Tower					
Wuhan	SKP	SKP	SKP		IFC				IFC
	International Plaza	International Plaza	International Plaza	Wushang World Trade Plaza		Venetian			Venetian*2
	Heartland 66	Heartland 66	Heartland 66			Wynn Macau	Wynn Macau	Wynn Macau	
Chengdu	IFS	IFS	IFS			Wynn Palace	Wynn Palace	Wynn Palace	
	SKP	SKP	SKP			Galaxy Macau	Galaxy Macau	Galaxy Macau	
	Tai Koo Li	Tai Koo Li				Four Seasons	Four Seasons	Four Seasons	
Tianjin	MixC	Hisense Plaza		MixC		City of Dreams	City of Dreams	City of Dreams	
						One Central			
Chongqing	MixC	MixC							
	Starlight 68 Plaza	Starlight 68 Plaza	Starlight 68 Plaza						
Suzhou	MetroCity	MetroCity							
Changsha	IFS	IFS							
Hefei	Inlime	Inlime							
Zhengzhou	David Plaza	David Plaza							
				David Plaza					
Wuxi	Center 66	Center 66							
Qingdao	Hisense Plaza	Hisense Plaza							
Ningbo	Heyi Avenue	Heyi Avenue							
	Hankyu	Hankyu	Hankyu						

Blue text notes new shopping malls entered in 2025

Source: Company data, Goldman Sachs Global Investment Research

Valuation methodologies, price targets and risks

Price Target Risks and Methodology - Luk Fook Holdings

Our 12m TP is HK\$31, based on 10x average FY3/26E-FY3/27E target PE, at a ~30% discount against Chow Tai Fook in line with the level in 2017-18 when Hong Kong/Macau SSSG outperformed. Key risks: 1) slower/faster SSSG recovery; 2) slower-/faster-than-expected rental cost cuts; 3) changes in mainland Chinese tourists' preference of destinations to visit; 4) changes in China's travel policy; and 5) volatility in gold price/FX.

Price Target Risks and Methodology - Laopu Gold

We derive our 12-m TP of HK\$1,128 for Laopu Gold on a 25x 2026E target P/E. Key risks include: 1) potential gold price slump, 2) tough regulatory environment over luxury consumption, 3) regional concentration, and 4) overhang of IPO shares post lock-up expiry.

Price Target Risks and Methodology - Chow Tai Fook Jewellery Group

We are Neutral rated on CTF with a 12-m target price of HK\$14. Our price target is based on a 15x average FY3/26-FY3/27E P/E. Key risks: A slower-/faster-than-expected SSSG recovery, slower-/faster-than-expected store expansion,

lower-/higher-than-expected rental cost cuts, changes in mainland Chinese tourists' preference of destinations to visit, China's travel policy changes, volatility in gold price/FX, and performance of new brands.

Price Target Risks and Methodology - Chow Tai Seng Jewellery

We are Sell rated on Chow Tai Seng with a 12m TP of RMB10.8., based on 10x 2026E target PE. Key risks include: 1) Faster than expected gold demand recovery; 2) Lower store closures than expected; 3) Faster ramp up of product upgrade initiatives; 4) Successful franchise fee increase.

Disclosure Appendix

Reg AC

We, Xinyu Ruan, Michelle Cheng and Molly Dai, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

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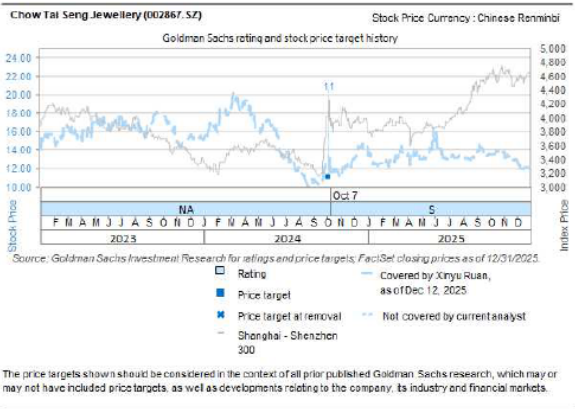
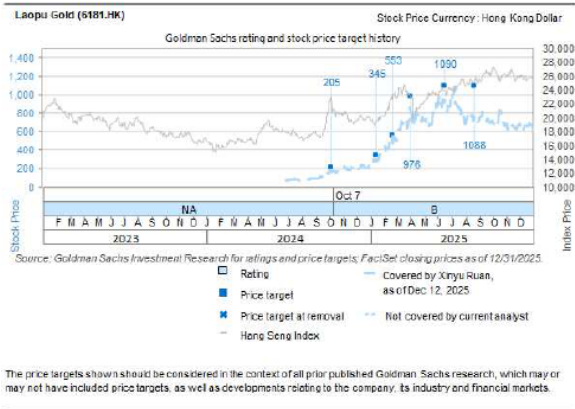
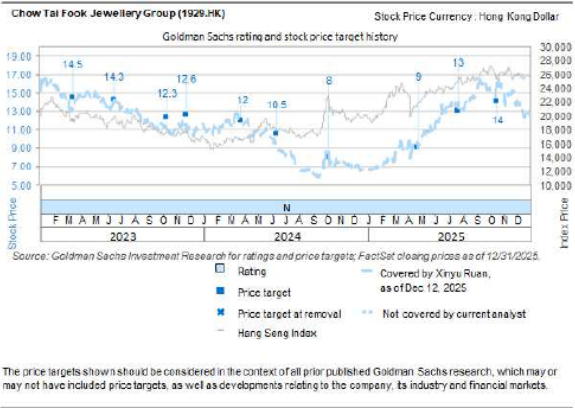
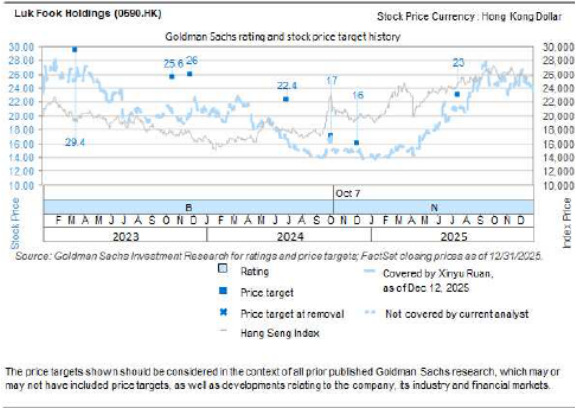
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Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
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Price target and rating history chart(s)



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